CONTENT

Background

On 24 January 2024, the Commission published a Communication titled 'Advancing European economic security'. It introduces five new initiatives, including the proposal for a regulation on the screening of foreign investments in the Union and repealing Regulation (EU) 2019/452.

The legislative proposal

The proposal seeks to address shortcomings of the 2019 FDI Screening Regulation listed in an OECD study and in a European Court of Auditor's special report that fed into the Commission's evaluation of that Regulation of 24 January 2024. It aims to do so inter alia by

- making the creation of an FDI screening mechanism mandatory for all EU Member States, by 15 months at the latest after the new regulation enters into force;
- determining the minimum scope for compulsory screening of transactions subject to an authorisation requirement (e.g. transactions relating to 'projects or programmes of Union interest' listed in Annex I and to sensitive economic sectors listed in Annex II, which includes the 10 technologies relevant under the economic security strategy);
- extending the material scope to indirect (intra-EU) investments by EU investors that are ultimately controlled by individuals or businesses from a non-EU country;
- encouraging the screening of greenfield investments that create a lasting and direct link between a foreign investor and an EU target;
- setting minimum procedural requirements (e.g. ex-ante screening of transactions subject to authorisation, initial review and in-depth investigations, ex-post screening of transactions up to 15 months after completion, confidentiality, judicial recourse against screening decisions);
- increasing the accountability of Member States vis-à-vis each other and the Commission by enhancing information exchanges within the cooperation mechanism (e.g. obligation for screening authorities to cooperate in cross-border investments; authorities to collect the same types of information in notifications and alignment of some of the deadlines for multi-country notifications; and annual reporting on screening activities);
- introducing an own initiative procedure for ex-post reviews to be initiated by a Member State or the Commission of investment

transactions up to 15 months after their completion, if they were not notified to the cooperation mechanism and are likely to negatively affect another Member State's security or public order or the security or public order either of more than one Member State or of 'a project or a programme of Union interest'.

European Parliament position

In a 2022 resolution, Parliament called on the Commission to assess whether other sectors can also be considered strategic, and to explore the possibility of strengthening the EU FDI screening mechanism with a view to giving it, with Member States' agreement, the power to block an investment that would create a risk to security or public order.

In a 2023 resolution, it reiterated its earlier calls to bolster the EU FDI screening framework and to empower the Commission, 'subject to supervision by the Council', to block FDI, specifically FDI that 'might be detrimental or contrary to EU projects and programmes or other EU interests'.

In a 2024 resolution, it underlined the importance of enhancing EU cooperation in screening and blocking FDI in the field of critical infrastructure. It encouraged the Commission to making the FDI screening regime mandatory for all Member States. It called for vetting processes to be clear and objective and for the definitions, scope and procedural requirements to be consistent across Member States to ensure an EU-wide level playing field.

In another 2024 resolution, it called on the Commission to make its opinions on FDI screening more impactful and to increase harmonisation by, for example, ensuring full implementation of the FDI screening regulation and building appropriate expertise.

In yet another 2024 resolution, it called for strengthening of 'the FDI screening procedures with due-diligence standards to identify leverage by governments of states which would contravene the security and defence interests of the Union and its Member States over investors in EU critical infrastructure'.

Legislative process

On 24 January 2024, Parliament's Committee on international trade (INTA) held an exchange of views with the Commission on the Regulation's revision.

Raphaël Glucksmann (S&D, France) was appointed INTA rapporteur. Rapporteurs for opinion: Markus Ferber (EPP, Germany) both for the Committee on transport and tourism (TRAN) and for the Committee on economic and monetary affairs (ECON), Svenja Hahn (Renew, Germany) for the associated Committee on the internal market and consumer protection (IMCO), and Pascale Piera (PfE, France) for the associated Committee on industry, research and energy (ITRE). On 19 February 2025, in his capacity as ITRE Chair Borys Budka (EPP, Poland) took over the opinion from MEP Piera following her withdrawal after the vote on the opinion.

On 29 January 2025, ECON and TRAN adopted their respective opinion. On 29 January 2025, INTA considered MEP Glucksmann's draft report. On 18 February 2025, IMCO adopted its opinion. On 19 February 2025, ITRE adopted its opinion. INTA adopted its report on 8 April 2025 with 31 votes in favour, 7 against and 3 abstentions.

On 8 May 2025, Parliament adopted its first reading position by 378 votes in favour, 173 against and 24 abstentions.

On 11 June 2025, the Council adopted its first reading position.

On 17 June 2025, interinstitutional negotiations ('trilogues') began aimed at reaching an agreement between the two co-legislators on the text of a revised Regulation.

On 23 September 2025, a second trilogue took place, focusing, according to the rapporteur, on narrowing the differences in the levels of ambition between the co-legislators as regards the regulation's scope and cooperation mechanism. The third trilogue is envisaged for late November 2025.

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